Managed US-China stability will hold

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【メール原文】

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Managed US-China stability will hold after midterms

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President Donald Trump’s weakened political standing after the midterm defeat and a newly empowered Democratic Congress will raise the near-term risk of bilateral friction but not derail managed stability for the rest of Trump’s term in office.
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A Democratic Congress will push tougher China legislation, but Trump’s veto power and executive discretion will likely constrain measures that threaten broader bilateral stability.
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Beijing will prioritize stability over exploiting Trump’s weakened position, responding proportionately to US restrictions, while mutual vulnerabilities will deter severe escalation.

Hawkish legislation will gain momentum in Congress. The push for China-related bills under a Democratic-controlled Congress will remain strong, given the bipartisan nature of congressional China policy. The Democrats’ decisive midterm victory strengthens their position to advance existing export control bills. Such legislation has historically faced constraints, including corporate lobbying and pushback from the White House, which wants to retain control of policymaking. However, the latest Nvidia scandal will reinforce this post-midterm momentum by weakening the company’s singular ability to slow the progress of those bills (see: Nvidia scandal increases odds of stronger export controls , 9 November 2026).

China Select Committee's diminished influence will not derail Democrats’ hawkish agenda. The committee’s influence will decline for two reasons unrelated to Democrats’ stance toward Beijing. First, Greg Meeks (D-NY)—who is set to become House Foreign Affairs Committee (HFAC) chairman under a Democratic majority—has an institutional interest in reasserting HFAC’s jurisdiction over China-related legislation. He has historically resisted the Select Committee encroaching on that turf. Second, Ro Khanna (D-CA), the Select Committee's current ranking member and presumptive chair next year, has widely reported presidential ambitions for 2028. Those ambitions will likely leave him with less bandwidth and political capital to defend the committee's institutional role and turf battles with HFAC, particularly if he launches a campaign next year.

The White House retains control of China policy. Since the trade truce last October, Trump has shown reluctance to bear the economic consequences of significantly destabilizing the relationship with China, making him unlikely to work with Democrats on major legislation that would further aggravate tensions. Trump also retains veto authority and substantial executive discretion over China legislation. His refusal to implement last year's TikTok divestiture law is a clear illustration of how a hawkish, bipartisan statute can still be effectively neutered through executive non-enforcement.

Moreover, Trump is likely to dismiss Democratic criticism that he has been too soft or transactional toward Beijing. He has shown no inclination to let partisan attacks on his China approach dictate policy for the last two years, and we do not expect that to change in the new Congress.

The midterm results will not significantly degrade relations. We view managed stability as the most likely path through the rest of Trump's term. Under this scenario, trade and investment restrictions will continue to rise, but each side's exposure to the other's chokepoints will deter a severe escalation that would undermine the Busan truce (see: Trump-Xi summit shores up managed stability , 1 October 2026).

China will not exploit Trump's lame duck status to upend bilateral stability. Although Beijing may see greater political room to push back against some of Trump's more unacceptable demands, structural constraints limit how far it can capitalize on his weakened position. Chinese officials understand that Trump and the executive branch retain primary control over China policy, and preserving bilateral stability remains Beijing's overriding priority. The Chinese foreign ministry's response to the midterms was measured, describing the election as "an internal affair of the US" and reaffirming China's willingness to maintain strategic stability.

Institutional momentum toward restrictions remains a risk to Trump's push for stability. Despite our expectation that the Busan truce will hold for the rest of the Trump presidency, the administration has been rolling out measures to restrict two-way investment and trade in specific areas at the working level for the last year. Those measures include expansive Federal Communications Commission restrictions on Chinese technology exports, as well as suggested tighter limits on Chinese access to AI-related investments from the US. China has responded to those measures with calibrated retaliation, and it will likely continue to do so. That pattern is consistent with Beijing's tendency to respond in kind to perceived escalations rather than ignore them. Even so, China's response will likely remain proportionate and contained, reflecting both sides' interest in preserving the broader stability framework rather than breaking the truce.

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